

Elliott-Larsen Act

Michigan first established fair housing legislation in 1968, but in 1977, the Elliott-Larsen Civil Rights Act replaced the Michigan Fair Housing Act. Along with race, color, national origin, religion, sex, physical or mental disability, and familial status (the seven protected classes recognized by federal fair housing laws), Elliott-Larsen acknowledges two additional classes: age and marital status.

It's worth noting that in 2018, the Michigan Civil Rights Commission voted to include protections from discrimination on the basis of sexual orientation and gender identity when interpreting the Elliott-Larsen Civil Rights Act. However, according to the attorney general, it's the legislature's responsibility to amend the act to specifically include these protections. This will continue to be a hot topic in Michigan, and many states, as more and more fair housing commissions interpret current fair housing laws (which are otherwise silent on the topic) to include protections on the basis of sexual orientation, gender identity, and other items. No matter the law, it's never a good practice for any real estate licensee to engage in discriminatory behavior.

Definitions

The Elliott-Larsen Civil Rights Act defines several key terms as used by the act:

- **Real property:** buildings, structures, mobile homes, real estate, land, mobile home park, trailer park, tenement, leasehold, or interest in cooperatives or condominiums. It's worth noting that in some states, mobile homes aren't considered real property unless they meet certain conditions, but for the purpose of the Elliott-Larsen Civil Rights Act mobile homes are considered real property.
- **Real estate transaction:** sale, exchange, rental, or lease of real property, or interests in real property.
- **Housing accommodation:** Real property used, occupied, or intended or designed to be used as a home or residence for at least one person. The real property can be improved or unimproved. This means that housing accommodation, for the purpose of this act, could include unimproved land zoned for residential dwellings.
- **Real estate broker or salesperson:** Anyone (whether licensed or not) who for another for a compensation engages in real estate activities.

Violations of the Act

Anyone engaged in a real estate transaction or acting as a real estate broker or salesperson can't do any of the following actions on the basis of religion, race, color, national origin, age, sex, familial status, or marital status of an individual or a person living with that individual:

- Refuse to engage in a real estate transaction.
- Discriminate against the person in relation to terms, conditions, or privileges related to the transaction, or when providing services or facilities related to the transaction.
- Refuse to receive or present a bona fide offer related to a real estate transaction.
- Refuse to negotiate a transaction, including terms and conditions of a rental or purchase, based on a protected characteristic.
- Represent that a property isn't available for inspection, sale, rental lease, etc. when it's available, this includes intentionally failing to bring a property listing to the individual's attention or denying property to a person.
- Create and circulate materials (such as advertisements or other items related to a transaction) that directly or indirectly imply a preference, limitation, specification or discrimination. For example, describing an area as a Hispanic neighborhood. This may also include the use of forms, such as rental application forms, that record a person's protected characteristics with the intention to discriminate based on that information.
- Offer real estate services, try to solicit listings, or accepting a listing with the understanding that discrimination may occur during the transaction. For example, if a seller tells a licensee that he'll refuse to accept any offers from minorities, the licensee shouldn't represent or work with this seller.
- Discriminate related to property appraisals, negotiations, or other brokering arrangements (such as financing).
- Restrict access to real estate services, organizations, associations, or memberships (such as in a multiple listing service) based on a protected class.

Exceptions

Exceptions to the above violations include:

- Rentals in a building that has housing accommodations for two or fewer families living independently of one another, if the owner or an immediate family member lives in one of the accommodations. Immediate family includes spouse, parent, child, or sibling.
- Renting a room or rooms in a single family dwelling if the lessor or an immediate family member resides in the dwelling.
- Rental of a housing accommodation for 12 months or less by the owner or lessor, if the accommodation was occupied and maintained by the owner or lessor as the primary legal residence for at least the three months immediately preceding the lease.

- Specific to age and familial status provisions, the sale, rental, or lease of accommodations meeting federal, state, or local housing program requirements for senior citizens or for the purpose of housing those aged 50 or older.

Generally, any conditions that prohibit or limit the use or occupancy of real property on the basis of religion, race, color, national origin, age, sex, familial status, or marital status are void. However, certain limitations of use may be permitted on religious basis for real property held, operated, or supervised by a religious organization or institution.

Other Violations Under the Act

Consumers seeking financing or financial assistance related to a real estate transaction, or construction, rehab, maintenance, or improvement of real property can't be discriminated against on the basis of religion, race, color, national origin, age, sex, familial status, or marital status. Lenders can't engage in blockbusting, redlining, or steering. Real estate licensees are also prohibited from engaging in blockbusting. Michigan law states that it's illegal to induce real estate transactions from which a person may financially benefit by representing that a change is or will occur in the neighborhood or area related to religion, race, color, national origin, age, sex, familial status, or marital status. This may include representations that property values or quality of schools will decline, or that crime rates or antisocial behavior will increase.

It's also illegal for two or more individuals to conspire to retaliate against someone who has made a civil rights complaint, or someone opposing that a violation occurred.

Seeking Remediation

Under state law, any person who is believed to be the victim of discriminatory practices can take any of the following actions within 180 days of the discriminatory activity:

- File a complaint with the Michigan Civil Rights Commission.
- File a complaint with local commissions.
- File a private civil lawsuit in a Michigan circuit court.

Federal complaints of discrimination must be filed within one year.

Potential Remedies

The Michigan Civil Rights Commission can order any of the following remedies for violations of the act:

- **Cease and desist.** If it's proven that violations have occurred, the commission can require the respondent to cease and desist the activity that is in violation.
- **Record keeping.** The commission can require respondents to keep records of their actions that comply with the act and to produce those records upon request.
- **Assess fines for damages incurred.** The commission may require the respondent to pay the complainant's attorney fees, pay any profits earned during the violation, and pay other additional costs.
- Additionally, the commission can seek court orders that require the respondent to rent or sell property to the complainant, pay for economic damages incurred by the complainant as a result of the violation, or pay a fine to the state.

Penalties

The circuit court can assess penalties for violations. The standard penalties are:

- \$10,000 for first violation
- \$25,000 for second violation within a five-year period
- \$50,000 for two or more violations within a seven-year period

Licensees found guilty of fair housing law violations may also face license suspension from the department.